Please check the examination details below before entering your candidate information

Candidate surname	Other names	Centre Number	Candidate Number

Pearson Edexcel

Level 3 GCE

Predicted Paper — Moderate

Synoptic paper. Two case-study sections combining micro and macro.

Morning (Time: 2 hours) **Paper Reference 9EC0/03**

Economics A

Moderate

Paper 3: Microeconomics and Macroeconomics

You do not need any other materials.

Total Marks: 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are two sections in this question paper. Answer ALL questions from Section A and Section B.
- In each section, answer Questions (a) to (c), and EITHER Question (d) OR Question (e).
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

(50 marks)

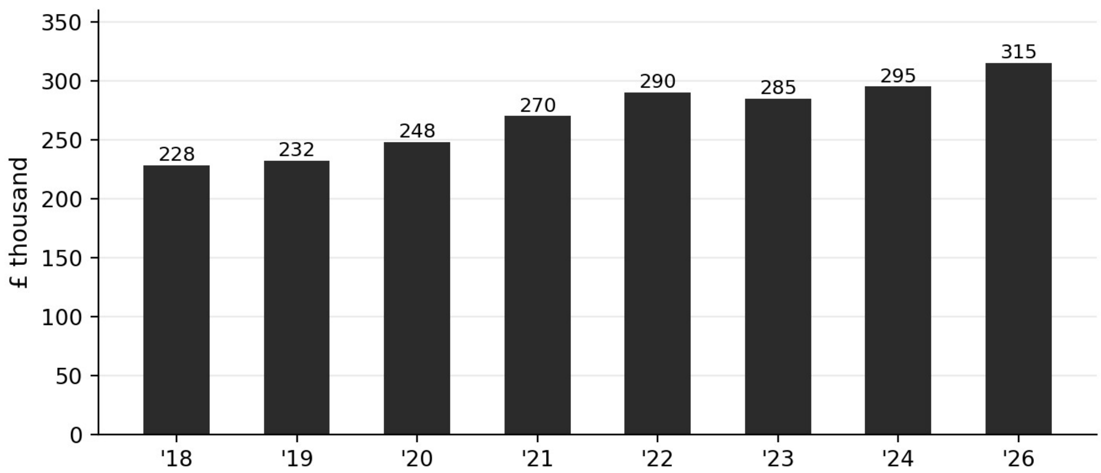
Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 1.

Answer ALL Questions 1(a) to 1(c), and EITHER Question 1(d) OR Question 1(e).

Figure 1: UK Average House Price (£ thousand), 2018–2026



(Source: adapted from ONS UK House Price Index and Nationwide House Price Index, 2026.)

Extract A — UK housing affordability in 2026

UK average house prices have risen by around 38% between 2018 and 2026, while average earnings have grown more slowly over the same period. The house-price-to-earnings ratio for first-time buyers has reached historic highs, with the average deposit requirement now equivalent to more than 18 months of median full-time earnings.

Supporters of recent government demand-side measures, such as Help to Buy and temporary stamp-duty reductions, argue that these schemes have helped younger buyers onto the property ladder and supported construction employment. Rising house prices also create positive wealth effects for existing owner-occupiers, which may boost consumer spending.

Critics argue that demand-side subsidies have pushed prices higher still, benefiting housebuilders and existing owners more than first-time buyers. They point to inelastic housing supply, caused largely by restrictive planning rules and local opposition to new development, as the fundamental problem. The result is growing intergenerational inequality, a larger private rental sector in which rents have risen sharply, and elevated household debt — raising concerns about macroeconomic and financial stability. Some economists argue that only a major expansion of housebuilding can meaningfully improve affordability.

(Source: adapted from the Office for National Statistics, the Resolution Foundation and the Institute for Fiscal Studies, 2026.)

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1 (a) With reference to Figure 1, calculate the percentage increase in the UK average house price between 2018 and 2026. Show your working. **(5)**

1 (b) With reference to Extract A and a supply and demand diagram, discuss the likely microeconomic effects of government demand-side policies (such as Help to Buy) on the UK housing market. **(12)**

1 (c) Examine the advantages of increasing housing supply through planning reform, rather than demand-side subsidies, as a means of improving housing affordability. **(8)**

Answer EITHER Question 1(d) OR Question 1(e).

1 (d) Evaluate the microeconomic and macroeconomic factors the UK government should consider when designing policies to improve UK housing affordability by 2030. **(25)**

1 (e) With reference to the information provided and your own knowledge, evaluate the likely microeconomic and macroeconomic effects on the UK economy of a significant expansion in housebuilding by 2030. **(25)**

TOTAL FOR SECTION A = 50 MARKS

SECTION B

(50 marks)

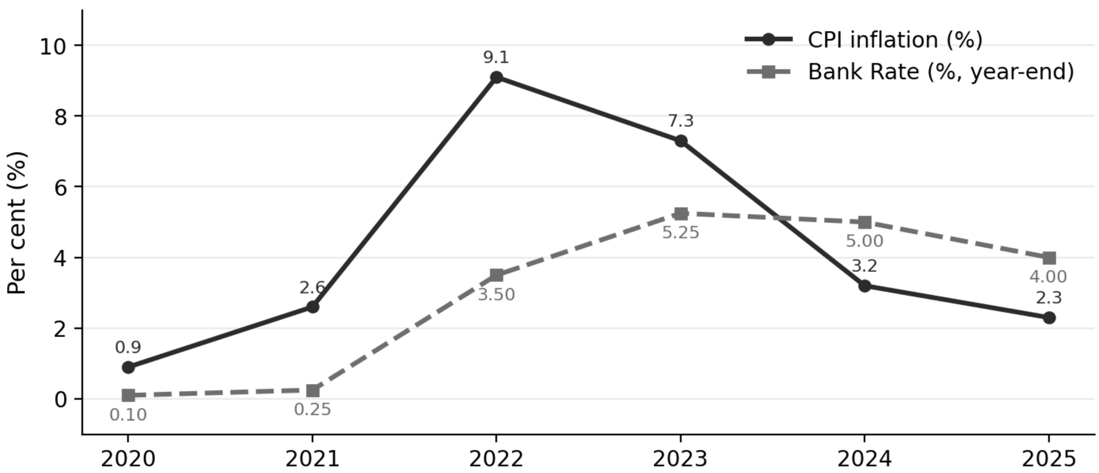
Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 2.

Answer ALL Questions 2(a) to 2(c), and EITHER Question 2(d) OR Question 2(e).

Figure 2: UK CPI inflation and Bank of England Bank Rate (%), 2020–2025



(Source: adapted from Office for National Statistics CPI data and Bank of England Monetary Policy Reports, 2025.)

Extract B — UK monetary policy tightening

Between December 2021 and August 2023, the Bank of England raised its Bank Rate from 0.10% to 5.25%, the fastest and largest monetary tightening cycle in more than three decades. The Monetary Policy Committee (MPC) responded to a surge in inflation driven by global energy prices, supply-chain disruption following the COVID-19 pandemic, and a historically tight UK labour market.

Higher borrowing costs have fed through to mortgage rates. The average two-year fixed mortgage rate rose from below 2% in 2021 to above 6% at its peak. Business investment has slowed, and the housing market cooled significantly. Supporters of the MPC's approach note that CPI inflation has since fallen back towards the 2% target without the UK entering a deep recession.

Critics argue that monetary policy acts with long and variable lags and that aggressive tightening has disproportionately affected mortgage-holding households and smaller firms reliant on bank credit. Asset-rich households with few debts have been relatively unaffected, which may have worsened inequality. Some economists have called for greater use of macroprudential policy, targeted fiscal measures, and supply-side reforms to address structural inflation drivers such as weak productivity growth, energy dependence and skills shortages.

(Source: adapted from Bank of England Monetary Policy Reports, the Office for Budget Responsibility and the Institute for Fiscal Studies, 2025.)

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2 (a) With reference to Figure 2, explain the relationship between UK CPI inflation and the Bank of England Bank Rate between 2020 and 2025. **(5)**

2 (b) Examine the likely effects on UK household consumption of the rise in the Bank Rate from 0.10% to 5.25% between 2021 and 2023. Use an aggregate demand and aggregate supply diagram. **(8)**

2 (c) With reference to Extract B, discuss the likely microeconomic and macroeconomic effects on UK firms of the Bank of England's tightening cycle. **(12)**

Answer EITHER Question 2(d) OR Question 2(e).

2 (d) Evaluate the effectiveness of monetary policy as a tool for controlling cost-push inflation in the UK economy. **(25)**

2 (e) With reference to the information provided and your own knowledge, evaluate the extent to which supply-side policies and fiscal policy — rather than monetary policy — should be used to control UK inflation. **(25)**

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END